Topic 3 – Financial Statements - Solution

Question 1

Statement of financial position at the end of the week

	£
Non-current assets	
Property	145,000
Furniture and fittings	63,000
Motor van (+10,000)	10,000
	218,000
Current Assets	
Inventories (28,000 – 8,000 – 17,000 + 14,000)	17,000
Trade receivables (33,000 + 23,000 – 18,000)	38,000
Bank (-43,000 + 11,000 + 18,000 + 100,000 - 13,000)(note 1)	73,000
	128,000
Total assets	346,000
Equity (note 2)	322,000
Current liabilities	
Trade payables (23,000 + 14,000 – 13,000)	24,000
Total equity and liabilities	346,000

Note 1 Bank

At the start of the week the bank account was in overdraft, and therefore included as a current liability. By the end of the week, enough cash had been paid in to the bank account to clear the overdraft, and the balance is now shown as a current asset.

Note 2 Equity

	£
Opening balance	203,000
Add: cash paid in	100,000
value of van	10,000
Profit on sale of inventories (11,000 – 8,000) + (23,000 – 17,000)	9,000
Balance	322,000